higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

ENTREPRENEURSHIP AND BUSINESS MANAGEMENT N4
(Second Paper)

28 MAY 2019

This marking guideline consists of 7 pages.

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SECTION B

QUESTION 1

1.1
- To be recognised for your efforts
- YELI was the winner of a 2,6 million-Ugandan shilling ILO business-plan competition.✓✓
- He is the recipient of the 2012 FERD Award for Social Entrepreneur of the Year.✓✓
- He has been recognised by Tony Elemelu for the Tony Elemelu Prize in Business Award in 2014.✓✓
- In 2012 Andrew won first place at the Anzisha Prize, a competition that recognises and celebrates African entrepreneurs under the age of 22 years who are using business to solve problems in their communities.✓✓
- To reap unlimited profits
- From his earnings he is able to pay for his BCom.✓✓
- To pay staff salaries✓✓
- To support his family✓✓ (12)

1.2 He started his business to cater for his needs while at school after his parents became unemployed.✓✓ In 2008, at the age of 16, Andrew saw a market opportunity in creating paper bags as the Ugandan government leaned towards a ban on the use of polythene plastic bags, Andrew decided to venture into an environmentally friendly project of paper-bag production.✓✓
(2 × 2) (4)

1.3 S – Leadership skills,✓✓ dedicated staff✓✓
W – Handmade paper bags require a large number of labourers which can be costly✓✓ and there is a need for machinery.✓✓
O – High demand for paper bags,✓✓ market growth,✓✓ additional product lines
T – Competition,✓✓ government laws✓✓ (16)

1.4 1.4.1
- With no initial capital, Andrew cleaned the environment by collecting used plastic bottles and selling them to a plastic-recycling plant.
- He raised his own funds at a very young age while he was still at school and started his paper-bag company.

1.4.2
- Raised capital
- Registered the business
- Organised people to work in his to work in business

(Any TWO statements showing that he organised the resources to capitalise on the opportunities)
(2 × 4) (8)

1.5 1.5.1 Small, medium and micro-sized enterprises

1.5.2 South African Revenue Services

1.5.3 Value-added tax

(3 × 2) (6)

1.6 Problem redefinition✓✓

As the Ugandan government leaned towards a ban on the use of polythene plastic bags, Andrew decided to venture into an environmentally friendly project of paper-bag production.✓✓ (4)

[50]

QUESTION 2

2.1 Any business e.g. building material, restaurant, garden services (2)

2.2
- Overview of what the business is all about
- Product/Service that will be offered
- Business objectives
- Loan capital requirements
- How the loan will be repaid
- Security that an entrepreneur can offer (Any 4 × 2) (8)

2.3 The questionnaire must be relevant to the business idea chosen in QUESTION 2.1.

Criteria to mark the presale questionnaire is as follows:

Name of the business✓✓
Two open-ended questions✓✓✓✓
Two close-ended questions✓✓✓✓
Clear instructions of what the respondents must do with the questionnaire after completion✓✓
Neat layout✓✓ (14)

EXAMPLE:
JUST BUILD RESEARCH QUESTIONNAIRE✓✓

I intend to introduce a new business selling building material. Would you please be so kind as to complete the following questionnaire?✓✓

Do you use specialised windows in your designs? Please tick.✓✓

YES	
NO	

If you do not use specialised designs, please tell us why:✓✓

_____

If good quality specialised windows were available at a good price, would you consider using them for any of the following reasons:✓✓

a) Security
b) Light
c) View
d) Space

Explain why you chose a particular material for the windows.✓✓

_____

Please drop this questionnaire at Office 101, Bok Street at the shopping centre.

Layout✓✓

2.4
- Competitors:✓ low prices✓✓
- Suppliers:✓ quality of the products✓✓ (6)

2.5
- Receipts and cash-register roll
- Cheque counterfoils
- Petty-cash vouchers
- Credit notes
- Invoices
- Bank statements (Any 5 × 2) (10)

2.6 Central idea should be clothes✓✓
Subheadings surrounding the idea could be:
Coats and jackets✓✓
Trousers and jeans✓✓
Dresses and skirts✓✓
Pyjamas✓✓
Bags and accessories✓✓
(2 marks for central idea + 8 marks for subheadings) (10)

[50]

QUESTION 3

3.1
- Jewellery Palace
- Easy to remember
- Tells customers about the product (3 × 2) (6)

3.2
- Select a structure, e.g. sole trader.
- Get a business licence.
- Register the business.
- Ensure general product safety (Any 3 × 2) (6)

3.3 3.3.1
- Home-made jewellery (bracelets, rings, necklaces)
- Packed in plastic packaging
- Custom package boxes

3.3.2
- Social media, for example Facebook
- Fliers
- Word of mouth
- Calendar showing off her work (Any THREE)

3.3.3 She displays her jewellery designs at craft fairs,✓✓ church bazaars,✓✓ flea markets✓✓ local boutiques✓✓ (Any THREE)

3.3.4
- Skimming strategy
- Odd pricing
- Discounts

(4 × 6) (24)

3.4 Marking criteria: Business name,✓✓ logo,✓✓ pictures,✓✓ price,✓✓ attention-getting method, e.g. save/discount/best/while stock last✓✓ (10)

3.5 = 180 + 25%
= 180 + 45✓✓
= 225✓✓ (4)

[50]

QUESTION 4

4.1 4.1.1

GLOW COSMETICS AFTER-SALES QUESTIONNAIRE

At Glow we want to offer customer service that exceeds our customer's expectations. Would you please be so kind as to complete the following questionnaire?

Did you find the products you were looking for?

YES	NO	INDICATE WITH A TICK

Are you happy with the quality of our products?

YES	NO	INDICATE WITH A TICK

If unsatisfied with any of our service, please state the reasons why you are unsatisfied:

What changes do you feel would help to improve customer care?

Other suggestions:

Simply drop this form in the comments box in our store.

(12)

4.1.2

- Get an inventory-tracking system.
- Appoint security guards.
- Use mirrors to eliminate blind spots.
- Implement a bag-check policy.
- Relocate cash registers close to the entry and exit points. (5)

4.2 **ESTIMATED CASH-FLOW STATEMENT**

MONTH	**FEBRUARY**	**MARCH**	**APRIL**
CASH RECEIPTS			
Bank balance at beginning of month	✓8 000	✓6 000	✓17 450
Cash sales	✓3 500	✓4 200	✓5 250
Credit sales	✓2 400	✓1 500	✓1 800
Other income	0	✓15 000	0
TOTAL CASH AVAILABLE	✓13 900	✓26 700	✓24 500
CASH PAYMENTS			
Monthly expenses	✓3 950	✓3 950	✓3 950
Cash purchases	✓2 400	✓3 200	✓4 000
Credit purchases	✓900	✓600	✓800
Other payments	✓650	✓650 + ✓1 500	✓650 + ✓450
TOTAL CASH PAYMENTS	✓7 900	✓9 250	✓9 850
Bank balance at the end of month	✓6 000	✓17 450	✓14 650

(33)
[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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